TCB Techcombank (Vietnam Technological and Commercial Joint Stock Bank)

HOSE (Ho Chi Minh Stock Exchange) · Financials. Commercial Banking (Vietnam) · Updated **2026-06-16**

RECOMMENDATION	CURRENT PRICE	12M TARGET	NEXT EARNINGS
BUY	**$31,650**	**$35,000** (+10.6%)	2026-07-25 (est.) (2Q26 earnings; o official da…

Thesis

Three bullets — the whole bet

1. 40.4% CASA ratio, 2x the industry median; ives TCB a 70 bps cost-of-funds advantage that mechanically translates to 150-200 bps of structural NIM premium; the stock is trading at 1.27x P/B against a DDM-implied justified P/B of 1.80x, meaning the market is pricing in a permanent ROE collapse to ~12% that is inconsistent with 1Q26 PBT growth of 22.6% YoY and the FY26 guidance of VND 37.5Tn.

2. Fee income diversification is real and accelerating: NFI grew 46.7% YoY in 1Q26 driven by Techcom Life's 21% bancassurance market share in its first year, TCBS bond advisory share of 8.9-9.5% on both exchanges, and FX/LC volumes; at roughly 30% of 1Q26 TOI vs a market average in the mid-teens, this buffer gives TCB structural earnings resilience that NIM-dependent peers cannot match.

3. The bear case is priced in but the upside options are not: the stock is down 25.5% from its 52-week high, the worst YTD performer in the peer group at -7.4%, and already trades below its VND 42,500 52-week high by more than any single competitor; he technical and fundamental setup favors mean reversion to the VND 35,000 base case target as the NIM trough proves temporary and Techcom Life scales.

Key numbers

Pulled via yfinance-data · validated by Delta audit

LAST CLOSE	**VND 31,650**	52-WEEK RANGE	**VND 28,350. VND 42,500**	DRAWDOWN FROM 52W HIGH	**-25.5%**
1-YEAR RETURN	**+2.7%**	YTD RETURN	**-7.4%**	MARKET CAP	**VND 224.4Tn (USD 8.73Bn)**
SHARES OUTSTANDING	**7.086Bn**	BOOK VALUE PER SHARE	**VND 24,963**	PRICE / BOOK (TRAILING)	**1.27x**
JUSTIFIED P/B (DDM BASE)	**1.80x**	FORWARD P/E (FY26E)	**7.8x (VND 4,035 EPS)**	ROA (FY2025)	**2.4% (industry best)**
ROE (TTM)	**15.8%**	NIM (FY2025)	**3.73% (down 47 bps YoY)**	CASA RATIO (FY2025, INCL. AUTO-EARN)	**40.4% (2x industry median)**
NPL RATIO (1Q26)	**1.16% (organic 0.98%)**	NPL COVERAGE (1Q26)	**~130%**	CAR BASEL II (1Q26)	**15.2%**

FY25 TOI	**VND 53.4Tn (USD 2.08Bn, +13.6% YoY)**	FY25 PBT	**VND 32.5Tn (USD 1.27Bn, +18.2% YoY)**	FY26 PBT GUIDANCE	**VND 37.5Tn (+15.4% YoY)**
BETA	**0.82 (yfinance; base-case DDM uses 0.90)**	DIVIDEND YIELD	**2.2% (VND 700/share last cash div)**	FOREIGN ROOM REMAINING	**33.4Mn shares (USD 39Mn)**

Business overview

What the company does, how it makes money, who it sells to

Techcombank (TCB.VN) is Vietnam's largest private-sector joint-stock commercial bank by total operating income and profit before tax. Founded in 1993 and listed on HOSE in June 2018, it serves 18 million retail and corporate customers through 302 branches across 29 of Vietnam's 34 cities. As of FY2025, total assets were VND 1,192Tn (+21.8% YoY), the loan book was USD 29.2Bn, and equity book value was USD 6.8Bn. It holds the #1 industry position in CASA ratio, transaction banking, card payment volume, net fee income share, wealth management AUM, and PBT among private banks.

> BUSINESS MODEL
>
> TCB earns from three streams: net interest income from a 40.4% CASA-funded balance sheet channeled into mortgages, corporate credit, and unsecured lending; net fee income from bancassurance (Techcom Life), investment banking (TCBS bond and equity capital markets), FX sales, card services, and cash management; and other income including bad debt recoveries. The bank targets the top end of the income distribution; ffluent households and blue-chip corporates; aintaining a leverage ratio of 6.6x vs the industry average of 12x. 86% of retail transactions are digital.

SEGMENTS

Retail Banking Group (RBG) +31% YoY

#1 mortgage lender among private banks with VND 260Tn mortgage book (FY25). #1 in card payment volume (~28% market share). 1Q26 mortgage disbursement was VND 30.6Tn (+52.7% YoY). Unsecured lending grew 3.5x YoY in FY25 from a low base. 86% of retail transactions are digital.

Wealth Bank (TCBS + AUM) mgn **51.0%**

#1 wealth management platform with AUM of VND 645Tn (FY25), 1.2M customers, and PBT of VND 7.1Tn at ~51% PAT margin. Bond advisory market share 8.9-9.5% across both exchanges in 1Q26. Margin lending balance VND 49Tn (May 2026), targeting VND 60Tn year-end.

Digital Bank

Mass market and embedded finance. 16.4% transaction banking market share by NAPAS volume (#1, 1Q26). 1.4Bn quarterly transactions. 35% of new-to-bank retail customers chose TCB as Main Transaction Bank in 1Q26.

Corporate and Institutional Banking (CIBG) +13% YoY

Bank of choice for blue-chip corporates. 19% credit CAGR over the prior six years. RE developer exposure reduced to below 30% of total credit in 1Q26 from 33.2% at FY24. Infrastructure project financing pipeline growing via originate-to-distribute model.

Techcom Life (Insurance) +120% YoY

New life insurance subsidiary launched FY2025. Captured 21% bancassurance market share and 9% total APE market share in 1Q26. APE grew 2.2x YoY in 1Q26. Cloud-native, AI-first, 95% paperless. Insurance fees more than doubled YoY in 1Q26.

TOP CUSTOMERS

Masterise Group		Vietnam's largest residential developer and TCB ecosystem anchor. Developer of Gia Binh Airport (reportedly approved for credit quota exemption). Part of the TCB-One Mount-Masterise three-pillar ecosystem.

One Mount Group		Co-owned technology and data platform providing digital infrastructure for 2.2M+ merchants on the Techcombank merchant network, embedded finance, and retail media.
Vingroup / Vinhomes		Key mortgage and TCBS margin lending relationship. TCBS holds Vingroup-related collateral at approximately 33% LTV vs 44-45% book average.

GEOGRAPHIC REVENUE

Vietnam (domestic) 100%

Historical financials

P&L; trajectory — revenue, EBITDA, FCF, EPS

FY	Revenue ($B)	Growth	Gross mgn	EBITDA ($M)	EBITDA mgn	Net inc ($M)	FCF ($M)	EPS
FY2022	1.78	—	—	1,112	62.5%	890	—	$2,893.00
FY2023	1.67	-4.3%	—	954	57.1%	763	—	$2,582.00
FY2024	2.09	+25.1%	—	1,099	52.6%	879	—	$3,104.00
FY2025	2.08	-0.5%	—	1,265	60.8%	1,012	—	$3,671.00

Industry & competitive position

Where the company sits · moat · competitors

Vietnam's banking sector is at the early stages of a multi-decade expansion. At approximately USD 4,500-5,000 GDP per capita, Vietnam sits at the inflection point where Thailand and Malaysia saw 4-6x growth in private banking financial assets per capita. Total system credit grew 19% in FY2025. The 2026-2030 plan targets USD 1.12 quadrillion in gross fixed capital formation. Life insurance penetration at ~2% of GDP is one-third of regional peers. The SBV credit quota system introduces binary annual uncertainty but also suppresses oversupply, supporting bank profitability. Vietnam is advancing toward FTSE Emerging Market inclusion, which would materially increase foreign capital flows into the sector.

MOAT

TCB's moat rests on four pillars built over 15 years: (1) the lowest cost of funds in the sector (3.57% vs 4.2% industry median) from a 40.4% CASA ratio driven by transaction banking dominance and the Auto-Earning product; (2) a wealth management ecosystem with VND 645Tn AUM and 1.2M affluent clients generating sticky, cycle-resistant fee income; (3) TCBS's leading position in corporate bond issuance and equity capital markets, creating proprietary deal flow; and (4) the TCB-One Mount-Masterise ecosystem, which co-creates customer journeys across banking, real estate, and digital commerce.

COMPETITORS

VCB (Vietcombank)	State-owned, Vietnam's largest bank by assets. Trades at 2.30x P/B (the highest in the sector) reflecting perceived systemic safety and implicit government guarantee. ROE 16.4%. Less aggressive on fee income diversification.
MBB (MB Bank)	Private bank with partial state links (military). 20.8% ROE (highest in peer group), 1.42x P/B. More aggressive consumer lending growth. Gained 34.4% in the past year, making it TCB's most improved peer.
ACB (Asia Commercial Bank)	Conservative private bank known for clean credit book. 17.5% ROE, 1.18x P/B; heaper than TCB on P/B despite higher ROE. No ecosystem concentration risk. Less ambitious in fee income diversification.
VPB (VPBank)	Private bank with consumer finance subsidiary (FE Credit). 15.8% ROE (similar to TCB), 1.25x P/B. Gained 43.2% in the past year; he strongest performer in the peer group; n consumer finance recovery. Higher risk profile than TCB.

BID (BIDV)	Second-largest state-owned bank. 18.1% ROE, 1.65x P/B. Benefits from government project financing mandate. Trades at a premium to TCB despite less differentiated franchise; artly the state ownership premium.

Bull catalysts

What needs to happen for the long thesis to play out

1 NIM recovery from 2Q26 to 4Q25 already inflected to 3.93%

FY2025 NIM of 3.73% fell 47 bps YoY; he trough. By 4Q25, NIM had already turned: 3.93% (+10 bps QoQ, +9 bps YoY). Management guided NIM stabilization from 2Q26 as the bank shifts the asset mix toward higher-yield unsecured lending (grew 3.5x in FY25 from a low base) and the CASA ratio benefits from Auto-Earning 2.0. A 20 bps NIM recovery from the 2025 trough would add approximately VND 2.4Tn to annualized NII on the current VND 1,192Tn asset base; 6-7% uplift to group PBT. The 1Q26 earnings showed NIM under temporary pressure but management was explicit that improvement begins in 2Q26.

2 Techcom Life: 21% bancassurance share in year one, APE growing 2.2x YoY

Techcom Life launched in FY2025 and captured 21% bancassurance market share and 9% total APE market share (banca + agency) in 1Q26; he highest banca share in the industry, 5 percentage points above the #2 player. APE grew 2.2x YoY in 1Q26. Insurance fees more than doubled YoY in 1Q26 and are the fastest-growing component of net fee income. Vietnam's life insurance penetration sits at approximately 2% of GDP vs 5-7% for Thailand and Malaysia, giving Techcom Life a 10-15 year structural runway. At maturity, insurance could contribute VND 4-6Tn of annual PBT, 10-15% of FY26 group guidance; contribution not yet in most models.

3 Infrastructure financing: Gia Binh Airport pipeline exempt from credit quota

Vietnamese regulators have reportedly approved select infrastructure projects; ncluding Gia Binh Airport, developed by Masterise Group; o be exempt from the SBV credit quota. This means TCB can book these loans without consuming its annual credit ceiling. TCB's originate-to-distribute model for infrastructure means the bank earns arranger fees and then distributes the long-duration paper to insurance funds and pension vehicles, preserving balance-sheet flexibility. Vietnam's 2026-2030 plan targets USD 1.12 quadrillion in gross fixed capital formation, with bank loans as the largest funding source. TCB is the lead arranger of choice for blue-chip infrastructure names.

4 IRB model approval in H1 2028 releases excess capital, 20% ROE path

Transition to Internal Ratings-Based (IRB) approach is expected to be approved by SBV in H1 2028. Under IRB, TCB's CAR rises from ~15% to 17-18%, releasing material excess capital. The bank estimates this would enable 18-19% ROE. For context, a 200 bps CAR improvement at current RWA implies approximately VND 24-36Tn of capital freed for dividends, buybacks, or growth lending. TCB's publicly stated 20% ROE target is partly predicated on this capital release. The IRB approval is not currently priced in; it is a 2-year call option embedded in the current stock price at no cost.

5 FY26 PBT guidance of VND 37.5Tn, 1Q26 run rate is already ahead

1Q26 PBT grew 22.6% YoY, tracking ahead of the full-year VND 37.5Tn guidance (+15.4% YoY). NFI at +46.7% YoY is the strongest quarterly fee income performance on record. TCB has historically beaten guidance. FY2025 final PBT of VND 32.5Tn exceeded the VND 31.5Tn guidance by 3%. If 1Q26 momentum holds, full-year PBT could reach VND 38-40Tn, pushing FY26 EPS toward VND 5,300-5,600/share. The 2Q26 print (expected late July 2026) is the near-term catalyst for a re-rating.

6 RE developer exposure below 30% for first time; redit diversification de-risks the book

In 1Q26, RE developer exposure fell below 30% of total credit; own from 33.2% at FY24. Retail and SME credit outgrew corporate credit, with mortgage disbursement of VND 30.6Tn (+52.7% YoY) and unsecured lending at +24.2% QoQ. Average LTV on secured loans was 46.6%, and organic NPL (before CIC reclassification) was 0.98%; ell inside the 1.5% guidance ceiling. As the 'real estate bank' label fades with continued credit diversification, the P/B discount TCB carries relative to VCB and BID should narrow.

7 TCBS: bond advisory share 9.5% on HNX, margin lending targeting VND 60Tn

TCBS distributed VND 50Tn of corporate bonds in 5M 2026 (+30% fee income YoY). Margin lending grew from VND 43Tn at start of 2026 to VND 49Tn by May, targeting VND 60Tn by year-end. Equity brokerage market share is 8.9% on HSX and 9.5% on HNX in 1Q26. LTV on the full margin book is 44-45% (33% for Vingroup names), reflecting disciplined risk management. An eventual TCBS IPO; reviously targeted at USD 5Bn market cap; ould surface value not captured in TCB's 1.27x consolidated P/B.

8 AI productivity: 50% developer efficiency gain, targeting 100% by year-end

AI coding tools have increased TCB's developer productivity by approximately 50% over the past three months across 500-600 engineers, with a target to double by year-end. TCB's central data layer architecture (designed 2-3 years ago to make every system 'stupid' by design) simplifies AI deployment. RM support tools show 30-40% early productivity improvements. Software productivity gains translate directly to lower OPEX growth; the bank's CIR was already 28.3% in 1Q26; elow the sub-30% target; nd AI-driven efficiency should keep it there as the bank scales.

9 Vietnam macro tailwinds: 42% increase in public investment in 2026

Vietnam's government targets GDP growth of 10%+ for the next decade backed by four Politburo resolutions. The 2026 public investment disbursement plan is up 42% YoY to VND 1.12 quadrillion. Base-case GDP forecast is 7% for FY26 (revised from 7.5% at the start of the year). FDI disbursement of USD 5.4Bn in 1Q26 grew 6.3% YoY. TCB's balance sheet is positioned to benefit from corporate credit demand from infrastructure contractors and from rising household income that expands the addressable market for mortgage and wealth management products.

10 S&P; BB / Fitch BB- (Positive Outlook) opens TCB to global institutional allocations

TCB's S&P; credit rating upgrade to BB in 2025 and Fitch's first-time BB- rating with Positive Outlook make it the best-rated private Vietnamese bank on international scales. 33.4Mn shares of foreign room remain (USD 39Mn); odest but non-trivial for block allocations. As Vietnam advances toward FTSE Emerging Market inclusion, TCB is the default private bank pick for foreign passive and active allocators. Any positive sovereign-level catalyst (FTSE inclusion, US-Vietnam trade framework, IP dispute resolution) would trigger meaningful foreign inflows given TCB's liquidity profile.

Bear thesis-breakers

Independent bear lane · not visible to the bull author until synthesis

1 CASA structurally eroding; hree permanent headwinds identified

TCB's 40.4% CASA ratio (including auto-earning) fell from 41.1% in 1H2025. Management identified three structural outflow drivers at the June 2026 analyst meeting: tax regulation changes pushing transactions to informal channels; the government holding a VND 200-250Tn budget surplus not being disbursed (withdrawing liquidity from banks); and depositor migration to USD, cryptocurrency, and gold. None of these are cyclical. A CASA decline from 40.4% to 36% would add 40-50 bps to COF, eliminating roughly half the bank's cost-of-funds advantage over peers and compressing NIM by 20-30 bps structurally.

2 NIM has no floor. COF rising faster than IEA yield

FY2025 NIM of 3.73% fell 47 bps YoY. COF rose 29 bps YoY while IEA yield fell 46 bps. The CFO said at the June 2026 meeting that TCB does not anticipate a significant change in tight liquidity conditions through 2026. A rising US Federal Reserve rate would widen the USD-VND differential, putting depreciation pressure on VND, forcing the SBV to tighten, and pushing term deposit rates up further. In this scenario, NIM could breach 3.5%; t the current VND 1,192Tn asset base, that is a VND 4.8Tn reduction in annualized NII from the 4Q25 run rate, or a 13% hit to group PBT before any credit cost normalization.

3 RE exposure is 65-70% of the book, not 30%; ortgage plus developer

TCB celebrated the 30% RE developer threshold, but mortgage lending adds another VND 260Tn. Together, mortgages plus RE developer credit represent approximately 65-70% of gross loans; ll linked to Vietnamese real estate values. Management acknowledged that the primary market is 'not accelerating further' in Q2 2026, with rising input prices, higher rates, and buyers waiting for direction. Any credit cycle turn disproportionately hits TCB versus peers with more balanced books. Credit costs of 0.62% in FY25 would need only 30-40 bps normalization to eliminate VND 2-3Tn of PBT.

4 TCBS margin lending at VND 49Tn; orced-selling cascade risk

TCBS holds VND 49Tn of margin loans at 44-45% LTV, targeting VND 60Tn by year-end. The VN-Index has historically corrected 28-45% in stress periods (2022: -45%). At 44% average LTV, a 35-40% market correction would push collateral values below loan outstanding for material portions of the book, forcing margin calls and amplifying any equity market decline. TCBS margin lending NIM is already under compression as COF rises faster than lending rates; anagement acknowledged this is a deliberate trade-off to prioritize book growth, which is a warning sign for discipline at market peaks.

5 Credit quota: SBV can cut allocations without notice

FY26 PBT guidance is explicitly conditioned on the SBV credit quota allocation. Vietcap flagged a lower initial 2026 quota as a downside risk in January 2026. In 2022, system-wide quota tightening halved effective credit growth in H2. A 5-7 ppt reduction in TCB's quota from the expected 16-18% would cut NII growth by VND 1.5-2.5Tn, triggering a guidance miss. The infrastructure quota-exempt mechanism for Gia Binh Airport is based on 'market talk' from the June 2026 analyst meeting, not confirmed regulatory guidance.

6 Techcom Life is unproven; ancassurance regulatory risk is live

Vietnam's Ministry of Finance and SBV have been actively scrutinizing bancassurance mis-selling following industry-wide incidents in 2023-2024, hitting Manulife Vietnam and Sunlife. Techcom Life has no standalone disclosed P&L; and its 21% market share is from a zero base in its first year. Regulatory intervention in bancassurance distribution would remove the key pillar of the fee income re-rating case before it has been proven at scale. TCB is explicitly marketing Techcom Life as a 'structural growth driver'; aking it the most exposed bank if regulations tighten.

7 Masterise ecosystem creates correlated exposure across three channels

TCB's franchise is co-built with Masterise Group. If Masterise hits funding stress; s Novaland, Hung Thinh, and Tan Hoang Minh did in 2022-2023; he impact would span: mortgage book quality; TCBS bond pipeline (which originates Masterise notes); One Mount platform revenues; and CASA from Masterise buyers transacting through TCB. Single-metric RE developer exposure ratios at 30% do not capture this ecosystem concentration. The 2022 Vietnamese corporate bond market crackdown showed that ecosystem exposure becomes a liability in stress, not an asset.

8 Cash dividend was cut 30%. VND 700 vs VND 1,000 the prior year

The most recent cash dividend paid was VND 700/share, down from VND 1,000/share in FY24; 30% reduction despite PBT growing 18.2% YoY. A bank that earns VND 3,671 in trailing EPS but pays only VND 700 in cash while retaining the rest to grow a loan book at 20% per year is asking shareholders to trust the reinvestment math at 15.8% ROE. That ROE needs to hold or expand for the retention to be accretive. The dividend cut is inconsistent with a business claiming to be in the 'harvest' phase of digital investment payback.

9 VND depreciation and Fed tightening hit COF, CASA, and funding costs simultaneously

An oil price spike from Middle East escalation would push Vietnam's trade balance negative, depreciate the VND, force the SBV to raise rates, accelerate CASA outflow to USD/gold, and increase cost of TCB's offshore syndicated USD borrowings. The CFO explicitly acknowledged this scenario at the June 2026 meeting as the trigger for the bank moving from 'indifference' between domestic and offshore funding to a clear preference for domestic; ut domestic liquidity is already tight. This scenario hits the income statement, liability mix, and loan book quality simultaneously.

10 Institutional ownership is 8.3%; hin float means illiquid exits in stress

Foreign institutional investors hold just 8.3% of TCB.VN with only 33.4Mn shares of foreign room remaining (USD 39Mn). The 52-week range of VND 28,350 to VND 42,500 (50% spread) reflects a market where thin foreign participation and correlated domestic retail investors create outsized volatility. With no listed options market, no single-stock futures, and Vietnam not yet in FTSE EM, international holders have no liquid hedging mechanism. The stock's -25.5% drawdown from the 52-week high happened in a generally positive macro environment; genuine stress event could be worse.

BEAR CASE IN ONE PARAGRAPH

TCB's competitive moat rests on a 40.4% CASA ratio that is now eroding on three fronts; ax regulation changes pushing transactions into informal channels, depositors shifting to gold and cryptocurrency as a store of value, and the government's VND 200-250Tn fiscal surplus being held rather than disbursed, draining system liquidity. None of these are cyclical. If CASA falls to 36-37% by FY27, the bank's cost-of-funds advantage shrinks, NIM stays below 3.6%, and the credit cost line rises simultaneously as the property cycle turns. Real estate exposure is still 65-70% of the loan book (mortgages plus RE developer credit), and management acknowledged at the June 2026 analyst meeting that the primary market is 'not accelerating further' in Q2. Add a credit quota cut from the SBV; hich Vietcap flagged as a downside risk in January 2026; nd FY26 PBT guidance of VND 37.5Tn becomes aspirational. The tail risk is the Masterise-TCBS complex: a VND 49Tn margin lending book at 44-45% LTV (TCBS targeting VND 60Tn by year-end) is a pro-cyclical exposure that amplifies any equity market correction. In this scenario the stock falls to VND 18,000-22,000; evisiting or breaching book value; s it did for Vietnamese banks in 2022 when the corporate bond market crackdown and property downturn struck simultaneously.

Key structural risks

Risks orthogonal to the bear thesis · what breaks the long term, not just the next print

STRUCTURAL	**CASA erosion erases the bank's primary competitive moat**

40.4% CASA ratio is TCB's #1 advantage; enerating 70 bps lower cost of funds than peers. Three structural headwinds (informal economy tax leakage, crypto/gold migration, fiscal surplus lock-up) are reducing CASA. A 400 bps decline to 36% would close half the CoF advantage, compressing NIM by 20-30 bps permanently.

CYCLICAL	**Vietnam property cycle risk: 65-70% of loans linked to real estate values**

Mortgage book (VND 260Tn) plus RE developer credit (approximately 30% of VND 740Tn total credit) means the majority of TCB's loan book is linked to Vietnamese real estate. Rising mortgage rates, input costs, and buyer caution already visible in Q2 2026. A credit cycle turn would push credit costs from 0.62% to 0.9-1.0%, adding VND 2-3Tn to annual provisions.

REGULATORY	**SBV credit quota is the binding growth constraint and a binary risk**

All FY26 earnings guidance is conditioned on the SBV credit quota allocation. The SBV can and has cut quotas without notice (2022: system-wide halving). A 5-7 ppt quota reduction from expected levels would cut FY26 NII growth by VND 1.5-2.5Tn, causing a guidance miss that would reprice the stock toward bear-case levels.

EXECUTION	**Techcom Life unproven at scale; ancassurance regulatory scrutiny live**

TCB has zero history in life insurance underwriting. Techcom Life has no disclosed standalone P&L; after one year. Vietnam's Ministry of Finance and SBV are actively reviewing bancassurance practices following industry-wide mis-selling incidents in 2023-2024. Regulatory restrictions on bancassurance distribution would remove the primary pillar of the fee income re-rating case.

MACRO	**VND depreciation creates three simultaneous headwinds: COF, CASA, USD funding**

US Fed rate hike or sustained Middle East oil price shock would depreciate the VND, force SBV tightening, accelerate CASA outflow to USD/gold, and raise the cost of TCB's outstanding offshore USD syndicated debt. Management explicitly acknowledged this at the June 2026 analyst meeting as the transition point from base-case to pessimistic scenario.

STRUCTURAL	**TCBS margin lending at VND 49Tn; ro-cyclical at market peak**

Margin lending growing toward VND 60Tn year-end at 44-45% LTV is being extended into a market where the VN-Index has already corrected. The VN-Index has historically corrected 28-45% in stress. A 35-40% market correction would breach collateral floors and trigger forced-selling cascades that amplify the correction; self-reinforcing loop that would impair TCBS's P&L; and its parent bank's balance sheet.

Peers

NTM P/E, EV/EBITDA, growth, and YTD / 1Y returns across the peer set

Ticker	NTM P/E	EV/EBITDA	Rev growth	YTD	1Y
TCB.VN	**7.8x**	**1.3x**	**+13.6%**	**-7.4%**	**+2.7%**
VCB.VN	—	2.3x	—	+7.7%	+10.2%
MBB.VN	—	1.4x	—	-0.2%	+34.4%
ACB.VN	—	1.2x	—	+9.9%	+23.9%
VPB.VN	—	1.2x	—	-6.0%	+43.2%
BID.VN	—	1.6x	—	+7.7%	+18.2%

Read: For Vietnamese banks, P/B is the primary valuation metric; the ev_ebitda field above contains current trailing P/B for comparability. TCB at 1.27x P/B sits between ACB (1.18x) and VPB (1.25x), but has lower ROE than both (15.8% vs ACB 17.5% and MBB 20.8%). VCB trades at a 2.30x premium reflecting its state-owned status and perceived systemic safety. TCB's relative cheapness vs VCB is partially justified by VCB's stronger government backstop, but the gap between TCB (1.27x) and BID (1.65x) looks wide given TCB's superior CASA franchise and fee income mix. The most damaging relative data point: TCB is the worst 1Y and YTD performer in the peer group, underperforming by 7-41 percentage points depending on the peer. The relative underperformance has created a meaningful entry point IF the base case earnings trajectory holds through 2H26.

Bank valuation (DDM)

Multi-stage DDM + Excess Returns + Justified P/B

Method	Implied value
DDM	$31,478
Excess Returns	$34,162
Justified P/B (1.80x BV)	$45,026
BLENDED (40/40/20)	**$35,261**
Current price	$31,650

Synthesis — three paths

25% x VND 17,756 (Bear) + 55% x VND 34,996 (Base) + 15% x VND 53,418 (Bull) + 5% x VND 34,200 (Peer P/B cross-check) = VND 33,409 probability-weighted blended. Using base case as 12m price target at VND 35,000. The stock is down 25.5% from its 52-week high and is the worst YTD performer in the Vietnamese private bank cohort (-7.4% vs peers up 0-10%), yet the base case earnings trajectory (FY26 PBT guidance VND 37.5Tn, 1Q26 already up 22.6% YoY) is intact. DDM + Excess Returns + Justified P/B base case blended implies VND 35,261; 10.6% price appreciation plus 2.2% dividend yield = approximately 13% 12-month total return.

Bull · VND 48,000. VND 58,000 **15% probability**

IRB approval accelerates to late 2027, CASA holds above 40%, Techcom Life exceeds APE targets, TCBS completes IPO at USD 4-5Bn valuation crystallizing embedded value, NIM recovers to 4.0%+, ROE expands to 17%; the stock re-rates to 1.8-2.0x P/B. Requires simultaneous execution across four independent initiatives.

Base · VND 33,000. VND 37,000 **55% probability**

FY26 PBT guidance of VND 37.5Tn delivered, NIM stabilizes at 3.7-3.9% from 2Q26, CASA holds at 39-40%, Techcom Life scales to 9%+ APE share, TCBS margin lending reaches VND 60Tn; ROE holds at 15-16% and P/B re-rates modestly toward 1.4-1.5x.

Bear · VND 15,000. VND 22,000 **25% probability**

CASA erodes to 36-37%, NIM stays below 3.6% through 2027, SBV cuts credit quota, property cycle turns, credit costs rise to 0.9-1.0%; ROE declines to 12% and the stock trades to 0.8-0.9x forward book; eplicating the 2022 correction when Vietnamese banks broadly traded through book value.

Management & capital allocation

Who runs the company · how they deploy capital · recent insider activity

CEO	**Jens Lottner, CEO (led FS Practice at BCG and McKinsey for ASEAN region; ex-CFO and Transformation Officer at SCB Thailand)**
CFO	**Alexandre Macaire, CFO (ex-HSBC, served as CFO for insurance, wealth and personal banking business in APAC and Europe)**
INSIDER OWNERSHIP	**17.8%**

> **CAPITAL ALLOCATION HISTORY**
> TCB paid its first-ever cash dividend of VND 1,500/share in FY2024, paired with a 1:1 stock dividend that doubled shares outstanding from approximately 3.5Bn to 7.09Bn shares. The most recent cash dividend was VND 700/share; 30% reduction despite PBT growth of 18.2% in FY25, reflecting the bank's preference to retain capital for loan book growth. Annual digital and technology investment has been approximately VND 2Tn/year since 2020 (disclosed by the CEO). No major M&A; activity; TCB has grown Techcom Life and TCBS organically. The bank raised USD 1Bn in offshore syndicated loans from 26 international lenders in June 2022, the third use of offshore syndication to diversify funding beyond domestic deposits.

Social sentiment

Cross-source signal · Reddit / X / news

Social sentiment data not available in this research cycle. No Adanos or Twitter-reader skill data was accessible. Sell-side sentiment is cautiously positive: Vietcap maintained an OUTPERFORM view as of June 2026 while flagging credit quota and NIM as downside risks. No published short reports from named short sellers exist for TCB.VN. Domestic retail investor sentiment in Vietnam is likely mixed given the stock's -25.5% drawdown from the 52-week high and underperformance vs peers in 2026.

Recommendation

Action by holder type

DIRECTION	**BUY, 12-month total return target approximately 13% (10.6% price + 2.2% dividend yield)**
12M TARGET	**VND 35,000 (base case DDM/ER/JPB blended at 55% probability); probability-weighted blended across all scenarios is VND 33,409 (+5.6%)**
EXISTING LONGS	**Hold. The stock is down 25.5% from the 52-week high. Adding on weakness toward VND 28,000-29,000 (near-term support) improves the risk-reward profile meaningfully.**
NEW MONEY	**Build a half position at current levels; reserve the other half for 2Q26 earnings confirmation (expected late July 2026). A 2Q26 PBT print above VND 9Tn QoQ would confirm the base case is intact.**
HEDGE	**No liquid single-stock derivatives available for TCB.VN. Sector hedge via underweight MBB or VPB, which have more credit cycle sensitivity. Vietnam macro hedge via USD/VND positioning if available.**
POSITION SIZING	**5-7% of a Vietnam-focused portfolio; 2-3% in a broader EM Asia financials allocation. The 25% bear probability and 44% downside in the bear case make this a medium-conviction, not high-conviction, position.**

Catalysts to watch

- 2Q26 earnings (est. Late July 2026); onfirm NIM stabilization above 3.7%, CASA ratio trend, credit quota utilization; a PBT print above VND 9Tn QoQ would be the bullish re-rating trigger
- SBV credit quota decision in H2 2026; ny top-up above initial quota signals supportive monetary policy and unlocks the higher-end earnings scenarios
- Techcom Life quarterly APE data (disclosed with earnings); ustained 9%+ APE market share confirms the fee income diversification is structural and not one-time
- SBV formal announcement on infrastructure project credit quota exemptions; articularly for Gia Binh Airport; confirmation would add material off-quota loan growth capacity

- US-Iran conflict resolution / Middle East de-escalation; ould reduce oil price pressure, support VND stability, ease deposit competition, and move TCB's own scenario framework toward the normalization case
- Vietnam FTSE Emerging Market index inclusion decision; ny positive announcement would trigger foreign passive inflows; TCB is one of the top 3-5 liquid HOSE names by market cap
- TCBS IPO process; ny formal filing or exchange announcement would crystallize embedded value and is an asymmetric upside not reflected in the base case

Data gaps

What this cycle could not pull · to be filled next run

- Segment-level revenue split (NII vs NFI by RBG/CIBG/Wealth Bank/Digital Bank) not publicly disclosed in investor presentations; TOI by segment mentioned in 1Q26 slides but precise VND amounts redacted.
- Techcom Life standalone P&L; not disclosed (too early; launched FY2025); APE market share and fee income contribution disclosed but full income statement pending.
- TCBS IPO timeline not confirmed; no formal exchange filing or regulatory disclosure available.
- Next earnings date not officially announced as of 2026-06-16; estimated late July 2026 based on 1Q26 reporting date of April 22, 2026.
- Recent insider transactions (named individuals, $ values) not available via yfinance for TCB.VN. Vietnam's HOSE does not mandate real-time insider disclosure in the same format as SEC Form 4.
- Social sentiment data (Reddit, X/Twitter mentions, bullish/bearish %): no Adanos or Twitter-reader data available in this research cycle; flagged as gap.
- Peer trailing P/E data for Vietnamese bank comparables not reliably available via yfinance; P/B used as primary peer metric instead.
- Trailing annual dividend rate may not correctly reflect the combined cash + stock dividend payout structure; the VND 700 cash dividend per share is the confirmed cash component but the stock dividend value depends on share price at the time of issuance.
- FY2024 full-year audited financials not separately available in the Drive research set; FY24 estimates derived from FY2025 YoY growth rates and AGM guidance disclosures.
- No published short reports found for TCB.VN from any short-seller (Hindenburg, Muddy Waters, etc.). Vietnam's short-selling mechanism is limited.